A REPORT ON UN TRADE AND DEVELOPMENT

In 1964, the poorest countries of the world asked one question: *why does trade keep them poor?*

RP

RAÚL PREBISCH

1964

A conference becomes an institution.

In the spring of 1964, delegates gathered in Geneva for the first United Nations Conference on Trade and Development. It was meant to last a few weeks. It never really ended.

At that first conference the developing nations organized themselves into the **Group of 77**, a bloc that survives today, and chose an Argentine economist, **Raúl Prebisch**, as the institution's first Secretary-General (1964–1969). His career rested on one uncomfortable idea: the world economy is split into a wealthy industrial *centre* and a commodity-exporting *periphery* — and the rules quietly favor the centre.

THE INSTITUTION, PLAINLY

A permanent forum for the countries the trade system was not built for.

UNCTAD is a permanent intergovernmental body of the United Nations. It does not set tariffs or settle disputes. It does something quieter and, in 1964, genuinely new: it gives the developing world a standing place to study the trade system, name what is unfair about it, and argue for change.

195
MEMBER STATES · LATE 2025

3
PILLARS OF WORK

Geneva

HEADQUARTERS SINCE 1964

01 **Research & analysis.** The data desk of the developing world, measuring how the terms of trade actually move.

02 **Consensus-building.** Quadrennial conferences where members negotiate shared positions, not binding rules.

03 **Technical cooperation.** Hands-on help for governments trying to climb the value ladder.

In 2024 the body was rebranded **UN Trade and Development**. The acronym, UNCTAD, was kept.

THE THESIS · PREBISCH-SINGER

Your coffee buys fewer tractors each year.

The prices of raw commodities tend to fall over time against the price of manufactured goods. So a country that sells coffee, copper or cotton to buy machines finds the same harvest buying a little less each year. Economists call it a decline in the **terms of trade**. Prebisch and Hans Singer described it in 1950. It has been quietly true ever since.

TERMS-OF-TRADE GAP: 97 INDEX POINTS AND WIDENING

▲ Manufactures price index · rises

▼ Commodity price index · falls

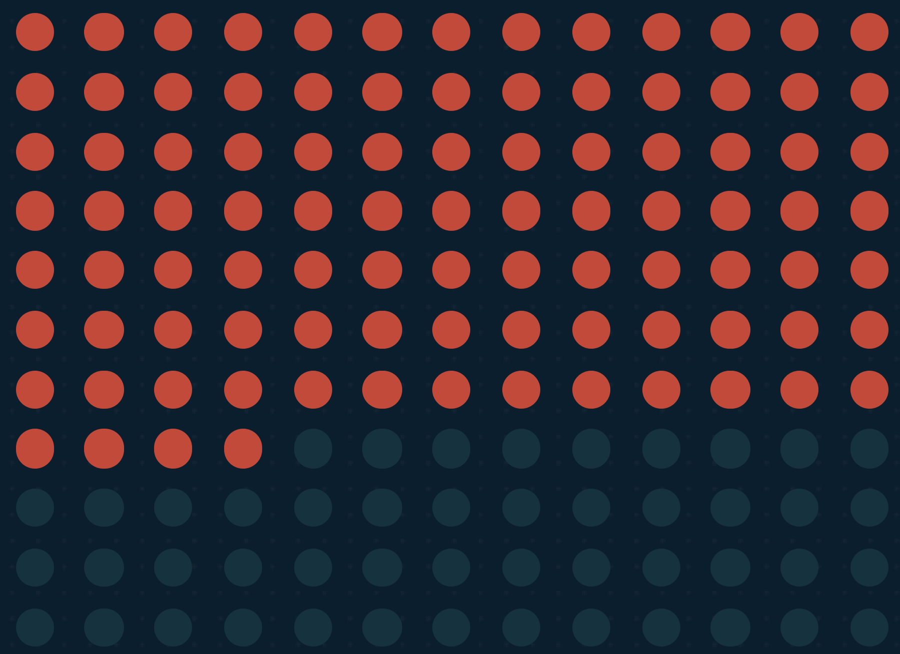
Manufactures climb; commodities slide. The pattern Prebisch and Singer named.

STATE OF COMMODITY DEPENDENCE, 2025

Most developing economies still live and die by raw exports.

Of **143** developing economies measured, **95** are commodity-dependent: they earn more than 60% of their export income from raw materials — including more than **80%** of the world's Least Developed Countries. Selling more raw goods does not break the dependence. It deepens it. The way out is to **diversify and add value**.

95 / 143 COMMODITY-DEPENDENT



13 columns × 11 rows = 143 economies · 95 commodity-dependent

THE SIMULATION

Reading about it isn't the same as living it.

You are one developing nation. You have twelve years, from 1964 to 1976, and one job: get rich without staying a colony. Watch your best move stop working.

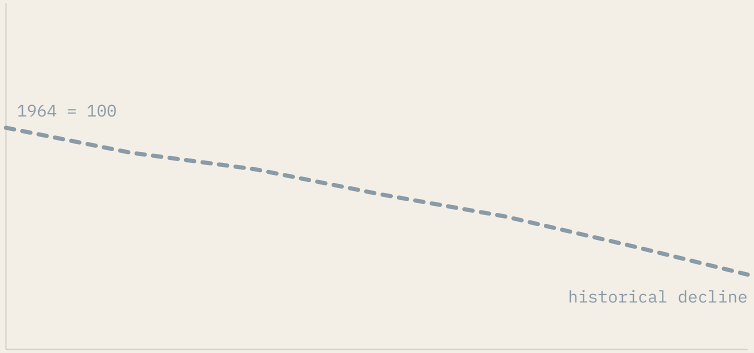
▶ Play *Unfair Trade*

CLICK → **OPENS THE SIMULATION**

YOUR RUN, AGAINST HISTORY

The line you drew is the line the data has been drawing for sixty years.

> **That feeling — your best move quietly failing — is the whole point of this report.** You just played the Prebisch-Singer thesis: a raw exporter's terms of trade decline year after year, so the only way out is to add value at home and demand fairer terms abroad. Everything that follows is how UNCTAD has fought that exact fight since 1964.



Left alone, the line falls. Play the game to draw your own against it.

THE WAY OUT

The escape is the way you won, or didn't.

A winning player does two things: adds value at home and demands fairer terms abroad. These are not invented game mechanics. They are UNCTAD's actual prescriptions, fought for across six decades.

- **Diversify & add value.** Stop shipping raw beans; ship roasted, ground, branded coffee. Every step up the value ladder slows the decline.
- **Generalized System of Preferences (GSP).** UNCTAD's idea: let rich markets cut tariffs for developing exporters — a leg up rather than a level field.
- **New International Economic Order (1974).** The G77's bid to rewrite the rules of global trade wholesale.
- **Least Developed Countries category (1971).** A formal class — today 44 countries — singled out for special support.
- **Demand fairer terms, together.** One exporter is a price-taker. A bloc is a negotiator.

THE HONEST LIMIT

A demand without leverage is just a press release.

WHAT UNCTAD CANNOT DO

Unlike the World Trade Organization, it has no binding rules and no power to enforce them. It cannot fine a country or strike down a tariff.

WHAT IT DOES INSTEAD

Its influence is analytical and diplomatic. It produces the research, builds the coalitions, and sharpens the argument the developing world carries to the table.

That limit is why the game gates **Demand Fairer Terms** behind bargaining power. In the simulation, as in the world, you cannot simply ask for a better deal — you earn the standing to be heard by diversifying and by organizing.

PRESENT TENSE

The conference that never ended is still in session.

In October 2025, the sixteenth UNCTAD conference met in Geneva and adopted what it called the **Geneva Consensus**. The body now counts **195 members** and has been led since 2021 by **Rebeca Grynspan**. In 2024 it took a new public name — **UN Trade and Development** — and kept the old initials.

Sixty-one years after a roomful of newly free countries asked why trade kept them poor, the question still has not been fully answered. But it has, at last, a permanent place to be asked.